

COLLECTION · INVESTORS

Financing an Income Property

Down payment, CMHC and structure — get the right rental financing

READ BEFORE YOU BEGIN

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This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

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Financing an Income Property

Down payment, CMHC and structure — get the right rental financing

Financing an income property follows rules different from those of a house. Down payment, counting of rents, loan insurance: well structured, your financing can make or break your project's profitability.

This guide covers the main rules (1 to 4 units vs 5 and up), the contribution, the role of loan insurance programs and the importance of good structuring.

2026 edition note: rules and rates change; always confirm with a mortgage broker. Each chapter ends with a lined “My notes” page.

Financing an income property doesn't follow the same rules as a residence. This guide clarifies the 1-4 vs 5+ unit distinction, the down payment, the role of loan insurers and how the lender qualifies your file.

Goal: structure solid financing that protects your profitability, rather than chasing the lowest rate.

CHAPTER

1 to 4 units vs 5 units and up

Understanding the key dividing line of rental financing.

The fundamental distinction: buildings of 1 to 4 units are financed under rules close to residential, while buildings of 5 units and up are considered “commercial” (multi-unit), with different rules, a different down payment and a different analysis, centred on the building's profitability.

- 1 to 4 units: lower down payment, especially if you occupy a unit.
- 5 units and up: higher down payment, analysis based on the building's NOI.
- The 5-unit line greatly changes your structuring.

The key dividing line: 1 to 4 units (rules close to residential, lower down payment if you occupy) vs 5 units and up (commercial financing, higher down payment, analysis based on the building's income). This distinction changes all of your structuring.

EMILIE'S TIP

Going from 4 to 5 units changes everything on the financing side. If you're starting out, a building of 4 units or fewer is often the most accessible gateway.

CHAPTER

The down payment and occupancy

Optimizing the contribution according to your project.

For a building of 1 to 4 units that you occupy, the down payment can be significantly reduced (see the owner-occupant guide). For a non-occupied rental building, the required contribution is generally higher.

- Occupant (1-4 units): reduced contribution, better conditions.
- Non-occupant investor: larger contribution.
- Part of the rents can help you qualify for your loan.

Optimize your contribution according to your project: occupying a unit in a 1-4 building opens advantageous rules; a purely rental building requires more. The lender also counts part of the rents toward your capacity — a lever to have quantified precisely.

EMILIE'S TIP

If your situation allows it, occupying a unit of your first plex unlocks far more advantageous financing. It's often the best springboard to start.

CHAPTER

Loan insurance and the counting of rents

Understanding the role of the insurance programs.

Loan insurers (CMHC and others) offer programs for multi-unit buildings that can allow a reduced contribution and better conditions, in exchange for a premium. The building's rents are counted in the analysis, to varying degrees.

These programs and their criteria change: a mortgage broker specialized in income properties is your best ally to identify the best option.

Loan insurers (CMHC and others) offer programs that can reduce the down payment or improve the conditions, notably for rentals. They count the rents according to precise rules. A specialized mortgage broker knows these programs and their criteria.

EMILIE'S TIP

Work with a mortgage broker used to rentals. The right insurance program or the right lender can turn a marginal project into a profitable one.

CHAPTER

Building a solid structure

Assembling financing that protects profitability.

- Compare several lenders (rate AND conditions, penalties, flexibility).
- Plan a margin: if rates rise at renewal, does the project still hold up?
- Keep cash for surprises and work.
- Think ahead: good structuring makes the next purchase easier (refinancing).

Financing isn't just a formality: it's a strategic lever that determines your cash flow and your ability to grow.

A solid structure compares several lenders (rate AND conditions), plans a reserve, and doesn't bet everything on an optimistic scenario. The best rate with rigid conditions can cost a lot at the wrong moment: think penalties, portability and accelerated payments.

EMILIE'S TIP

Don't choose only the lowest rate: think flexibility and the ability to refinance. Your first structure should open the door to the second building.

CHAPTER

Qualification: ratios and the stress test

Understanding how the lender assesses you.

Getting the financing depends on how the lender **assesses your file**:

- **Debt ratios**: the proportion of your income devoted to debt.
- **Counting of rents**: often only part is retained.
- **Stress test**: your capacity is calculated at a rate higher than the actual rate, to check that you could handle an increase.

Knowing these rules in advance avoids refusals and helps you build a solid file.

The lender assesses you via debt ratios, partial counting of rents, and a stress test (qualification at a higher rate). Knowing these rules in advance avoids refusals: meet a rental-specialized broker **BEFORE** shopping.

EMILIE'S TIP

*Meet a mortgage broker specialized in rental real estate **BEFORE** shopping. They'll tell you exactly how much you can borrow and how the rents are counted — it focuses your search.*

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Determine the number of units and my status (occupant or not).
2. Meet a mortgage broker specialized in rentals.

Within 30 days

1. Compare the programs and lenders (rates and conditions).
2. Structure financing with a margin for rate increases.

Next

1. Secure financing that protects the cash flow and growth.

Before shopping

1. Meet a mortgage broker specialized in rental real estate.
2. Have my capacity quantified (rents included) and compare rate AND conditions.

REFERENCES

Resources & glossary

- 1-4 units: a financing regime close to residential.
 - 5 units and up: “commercial” multi-unit, analysis by NOI.
 - Contribution / down payment: lower if occupant, higher if a pure investor.
 - Multi-unit loan insurance: programs (CMHC, etc.) with a reduced contribution, with a premium.
 - Refinancing: a lever to fund the next purchase.
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- 1-4 units: a category close to residential, more flexible financing.
 - 5 units and up: commercial financing, based on income.
 - Loan insurance: a program reducing the down payment or improving the conditions.
 - Stress test: qualification at a rate higher than the actual rate.
 - Counting of rents: the share of income retained by the lender.

GOING FURTHER

Quiz — test your knowledge

1. The key dividing line of rental financing is:

- A) 2 units
- B) 5 units and up (commercial)
- C) 10 units
- D) 1 unit

2. Occupying a unit of a 1-4 plex:

- A) Increases the contribution
- B) Reduces the contribution and improves the conditions
- C) Is forbidden
- D) Has no effect

3. For a building of 5+ units, the analysis is based mainly on:

- A) Your salary alone
- B) The building's profitability (NOI)
- C) The colour
- D) Nothing

4. Loan insurers (CMHC, etc.) can allow:

- A) No financing
- B) A reduced contribution and better conditions, for a premium
- C) Paying less tax
- D) Avoiding the notary

5. The building's rents:

- A) Are ignored
- B) Are counted in the analysis
- C) Double the contribution
- D) Replace the loan

6. The best ally of rental financing is:

- A) No one
- B) A mortgage broker specialized in rentals
- C) The neighbour
- D) The inspector

7. A good structure must plan for:

- A) No surprises
- B) A margin if rates rise at renewal
- C) Zero cash
- D) The lowest rate only

8. Financing is:

- A) A mere formality
- B) A strategic lever for cash flow and growth
- C) Without impact
- D) Decided by the seller

Answer key

- 1. **B** — 1-4 residential, 5+ commercial (ch. 1).
- 2. **B** — The occupant status is advantageous (ch. 2).
- 3. **B** — A commercial approach (ch. 1).
- 4. **B** — Multi-unit programs (ch. 3).
- 5. **B** — To varying degrees (ch. 3).
- 6. **B** — They identify the best option (ch. 3).
- 7. **B** — You protect the cash flow (ch. 4).
- 8. **B** — It determines the profitability and the future (ch. 4).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

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